

No Single Ratio Tells the Complete Story

There is no point in computing just one ratio as it will not give the whole picture but just one aspect. It is only when the various different ratios are calculated and arranged that the complete state of a company emerges and it is important that an investor has as much information as possible before he actually invests.

Ratios can be broken down into four broad categories:

Profit and Loss Ratios

These show the relationship between two items or groups of items in a profit and loss account or income statement. The more common of these ratios are:

1. Sales to cost of goods sold,
2. Selling expenses to sales,
3. Net profit to sales, and
4. Gross profit to sales.

Balance Sheet Ratios

These deal with the relationship in the balance sheet such as:

1. Shareholders' equity to borrowed funds,
2. Current assets to current liabilities,
3. Liabilities to net worth,
4. Debt to assets, and
5. Liabilities to assets.

Balance Sheet and Profit and Loss Account Ratios

These relate an item on the balance sheet to another in the profit and loss account such as:

1. Earnings to shareholders' funds,